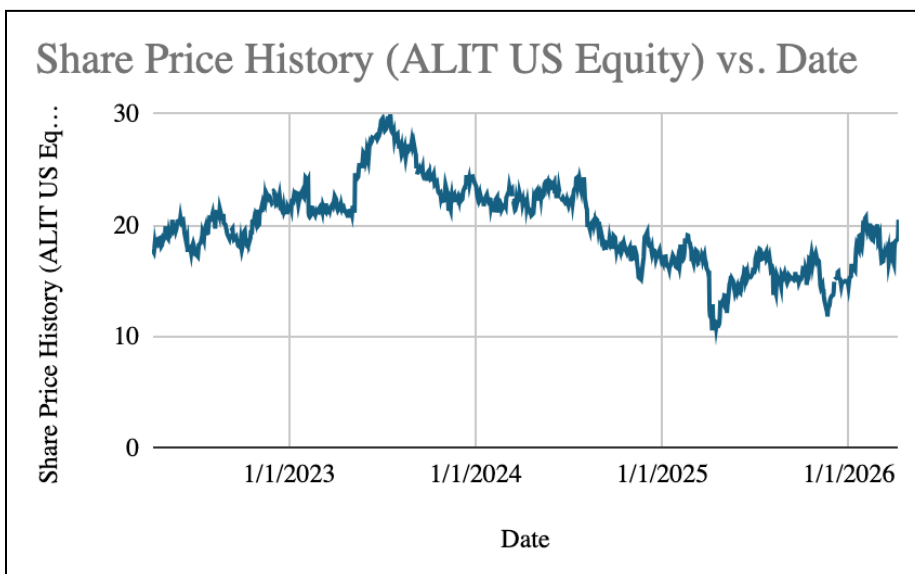


Recommendation: Buy / Long

Vishay Intertechnology (NYSE: VSH)	
Share Price (as of 4/8/26)	\$23.64
Shares Out.	138.5
Market Cap	\$3,274
Cash	\$312
Debt	\$2,450
TEV	\$5,412
FY24 EBITDA	533
EV / FY24 EBITDA	10.2x
Base Case Valuation Summary:	
FY27 EBITDA:	734
Target Multiple	9.0x
EV	\$6,608
Net Debt	\$2,138
Market Cap	\$4,470
Shares Out.	137.0
3-Year Price Target	\$32.64
Total Return:	38%
IRR	11%



Executive Summary

Vishay Intertechnology is a global leader in discrete semiconductors and passive electronic components. Currently trading at a depressed valuation of ~6x FY24 EBITDA, the market is pricing VSH as a legacy cyclical business. However, the company is at an inflection point through its "Vishay 3.0" strategy and the acquisition of the Newport wafer fab, which pivot the company toward high-margin Electric Vehicle (EV) and AI-power markets. With a massive margin of safety and a clear path to \$734M in Adj. EBITDA by FY27, VSH offers a highly asymmetric risk-reward profile.

Business Overview

Vishay Intertechnology is a global manufacturer of discrete semiconductors and passive electronic components, serving as a foundational supplier for the automotive, industrial, computing, and telecommunications sectors. The company manages a massive portfolio of over 1,000 product categories, including MOSFETs, diodes, resistors, and capacitors, which are mission-critical for power management and electronic connectivity. With a vast global footprint, Vishay's components are integrated into everything from factory automation and 5G infrastructure to the complex power systems of 70% of Fortune 100 companies.

Currently, the company is executing its "Vishay 3.0" transformation strategy, moving away from a siloed, product-led approach toward a unified, solution-based business model. This shift is anchored by the strategic acquisition of the Newport wafer fab, which provides the internal manufacturing capacity needed to scale high-margin Silicon Carbide (SiC) and Gallium Nitride (GaN) technologies. By focusing on these high-growth verticals—specifically Electric Vehicles and AI-power infrastructure—Vishay aims to shed its legacy cyclical image and re-rate as a high-performance power semiconductor leader.

Investment Thesis

1. **A "Better Mousetrap" in Newport:** The Newport wafer fab acquisition allows Vishay to internalize manufacturing for high-margin Silicon Carbide (SiC) products, capturing a larger share of the \$50B total addressable market (TAM).
2. **Inflection in Margins:** As the Newport fab scales, fixed-cost absorption will drive operating leverage, expanding EBITDA margins from 18.1% (FY24) toward 22.6% (FY29E).

3. Capital Allocation & De-leveraging: The company is committed to returning capital via share buybacks (retiring ~1.3M shares annually) and is projected to return to a Net Cash position by 2028.
4. Valuation Floor: Even in our Bear Case, which assumes stagnant growth and a low 11.0x multiple, the stock has a 67.3% upside from today's levels.

Precedent Transaction Analysis

Date	Seller	Acquirer	Terms	Multiple
1/1/2026	ROHM Co. (95.2% stake)	DENSO Corp.	All-Cash	~16.1x
5/1/2022	C&K Switches	Littelfuse, Inc.	All-Cash	~12.5x
Aug 2021	GT Advanced Tech.	onsemi	All-Cash	N/A (Asset Buy)
Nov 2020	Lite-On Semi	Diodes Inc.	All-Cash	~11.8x
Dec 2019	Ametherm	Vishay Intertech.	All-Cash	~9.5x

Management Team and Board of Directors

The leadership team at Vishay is currently undergoing a strategic evolution, shifting from legacy management toward an upgrade in operational expertise. This transformation is led by a C-suite focused on the "Vishay 3.0" turnaround, aiming to improve execution and portfolio simplicity. Much like the recent leadership shifts at Alight, Vishay's new management team is being evaluated on its ability to drive organic growth and capture a larger share of the \$50 billion total addressable market (TAM) through better "land and expand" strategies.

The Board of Directors has also seen significant modernization to better align with shareholder interests and drive operational change. This includes the integration of members with deep experience in global technology and semiconductor solutions to oversee the critical integration of the Newport wafer fab. The board is now tasked with maintaining a healthy balance sheet while overseeing the company's pivot toward high-margin recurring revenue streams and disciplined capital allocation, including dividends and share repurchases.

Valuation

	Base FY2027	Bull FY2027	Bear FY2027
Revenue	\$3,708	\$4,025	\$3,255
3yr Growth	6.2%	9.1%	1.5%
Adj. EBITDA	\$734	\$886	\$521
Margin	19.8%	22.0%	16.0%
FCF	\$311	\$415	\$112
Margin	8.4%	10.3%	3.5%
Conversion	42.3%	46.9%	21.6%
EBITDA Multiple	13.5x	16.5x	11.0x
EV	\$9,912	\$14,612	\$5,729
Net Debt	\$48	-\$115	\$315
Equity Value	\$9,864	\$14,728	\$5,414
Sh. Out.	135.2	132.5	136.9
Price Target	\$72.96	\$111.15	\$39.55
Upside/Downside	208.6	370%	67%
IRR	494%	68%	19%
Risk/Reward vs E	-310.0	-5.5	

The Base Case: Assumes that Vishay successfully executes its "Vishay 3.0" strategy, returning to peak profitability by FY2027 through the successful integration of the Newport wafer fab. Applying a conservative 13.5x multiple (a slight premium to its current trading levels but below peer medians) results in a 208.6% upside and a 45.6% IRR.

The Bull Case: Assumes a faster-than-expected recovery in the automotive and industrial sectors, with the Newport fab operating at peak efficiency. A multiple of 16.5x (matching high-performance semiconductor peers) yields a target of \$111.15, representing a 370.2% upside.

The Bear Case: Models a scenario where the cyclical downturn persists and the Newport ramp-up faces significant delays. Even with stagnant growth and a trough 11.0x multiple, the stock shows 67.3% upside from the current price of \$23.64, suggesting the market has currently priced in a worst-case scenario that is overly pessimistic.

Ticker	Name	Last Price	USD		% Chg 1Yr	% Chg YTD	USD Sales	1Yr	EV / EBITDA Crnt Yr	P/E		EBIT Margin T12M	Dvd Yield
			Market Cap	EV				Sales GR		Crnt Yr	NY		
DIOD	Diodes Incorporated	\$73.28	\$3.40	\$3.36	87.00%	15.70%	\$1.48	15.50%	15.9	17.2	14.8	16.50%	N.A.
LFUS	Littelfuse	\$346.54	\$8.6	\$8.8	138.80%	21.40%	\$2.35	12.20%	19.0x	22.5x	19.1x	18.20%	0.8%
ON	ON Semiconductor	\$78.42	\$33.7	\$25.2	12.60%	6.10%	\$8.25	26.00%	28.4x	24.8x	20.4x	29.10%	N.A.
TTDKY	TDK Corporation	\$12.53	\$28.2	\$27.0	29.00%	11.80%	\$14.85	11.30%	8.6x	11.4x	10.1x	10.50%	1.4%
ROHCY	ROHM Semiconductor	\$26.15	\$4.1	\$7.8	142.20%	18.30%	\$3.62	7.00%	16.1x	19.3x	15.5x	14.30%	2.3%
	Comp Group Average	\$107.38	\$15.60	\$14.41	81.92%	14.66%	\$6.11	14.40%	17.6x	19.0x	16.0x	17.72%	1.5%
	Comp Group Median	\$73.3	\$8.6	\$8.8	87%	16%	\$3.6	12.20%	16.1x	19.3x	15.5x	16.50%	1.4%
VSH	Vishay Intertechnology	23.51	\$3.3	\$3.1	\$18.5	4%	\$ 3.1	12.1%	12.3x	14.1x	11.2x	11.8%	1.7%

Risks

1. The stock will continue to be a "show me" story until Vishay can string together several quarters of consistent margin expansion. Investors justifiably remain skeptical as the company has historically traded as a cyclical commodity play, and the market needs proof that the "Vishay 3.0" strategy can deliver on its ambitious 2027 targets.
1. It is unclear if Vishay can successfully move down-market and realistically capture the large \$50 billion total addressable market (TAM) in high-growth segments like Silicon Carbide (SiC). Any delays in the technical ramp-up or lower-than-expected yields at the newly acquired Newport wafer fab could significantly push back the projected EBITDA inflection.
2. The business remains highly susceptible to global economic downturns and broad industrial layoffs. Because Vishay serves as a Tier 2 or Tier 3 supplier in long-cycle industries like automotive and 5G infrastructure, a large contract win could take more than a year to go live and see the actual revenue flow in.

Financials

	2021A	2022A	2023A	2024A	2025E	2026E	2027E	2028E	2029E
Revenue	\$3,241	\$3,497	\$3,402	\$2,938	\$3,069	\$3,222	\$3,383	\$3,552	\$3,730
Growth		7.9%	-2.7%	13.6%	4.5%	8.6%	8.6%	8.5%	8.4%
Gross Profit	\$898	\$1,051	\$961	\$643	\$746	\$849	\$959	\$1,081	\$1,214
Margin	27.7%	30.0%	28.3%	21.9%	24.3%	25.5%	26.5%	27.5%	28.5%
SG&A	\$430	\$458	\$475	\$451	\$436	\$452	\$474	\$499	\$528
Margin	13.3%	13.1%	14.0%	15.3%	14.2%	13.6%	13.1%	12.7%	12.4%
EBITDA	\$643	\$741	\$652	\$533	\$574	\$653	\$734	\$837	\$963
Margin	19.8%	21.1%	19.2%	18.1%	18.7%	19.6%	20.3%	21.3%	22.6%
D&A	\$145	\$144	\$141	\$166	\$181	\$197	\$210	\$220	\$230
Margin	4.5%	4.1%	4.2%	5.6%	5.9%	5.9%	5.8%	5.6%	5.4%
Operating Income	\$498	\$597	\$511	\$367	\$393	\$456	\$524	\$617	\$733
Margin	15.4%	17.1%	15.0%	12.5%	12.8%	13.7%	14.5%	15.7%	17.2%
Interest Expense	\$14	\$14	\$31	\$54	\$50	\$45	\$40	\$35	\$30
EBT	\$512	\$606	\$499	\$302	\$343	\$411	\$484	\$582	\$703
Tax	\$114	\$177	\$145	\$82	\$86	\$103	\$121	\$146	\$176
Net Income	\$298	\$429	\$354	\$220	\$257	\$308	\$363	\$436	\$527
Sh. Out.	145.4	143.2	141.1	138.5	136.9	135.5	134.1	132.8	131.5
EPS	\$2.05	\$2.99	\$2.51	\$1.59	\$1.88	\$2.27	\$2.71	\$3.29	\$4.01
FCF	\$264	\$215	\$130	-\$52	\$62	\$185	\$311	\$439	\$588
Net Leverage	-0.5x	-0.6x	-0.5x	0.6x	0.5x	0.1x	0.1x	-0.5x	-1.0x